

Those who live by regression to the mean spend their time entirely differently. They expect the storm to pass, so that one day the ocean will be flat. On that assumption, they can make the decision to ride out the storm. They are optimists who see the signals by which they will steer their ships toward that happy day when the sun shines through.

My own view of the matter is a mixture of these two approaches. Hard experience has taught me that chasing noise leads me to miss the main trend too often. At the same time, having lived through the bond yield/stock yield shift of the late 1950s and the breakthrough of bond yields into the stratosphere beyond 6 percent in the late 1960s—just to mention two such shattering events out of many—I look with suspicion at all main trends and all those means to which variables are supposed to regress. To me, the primary task in investing is to test and then retest some more the parameters and paradigms that appear to govern daily events. Betting against them is dangerous when they look solid, but accepting them without question is the most dangerous step of all.

THE IMPACT OF THE LONG RUN ON INVESTMENT MANAGEMENT

It is a truism that investing for the long run is different from short-term trading. But I would argue that time is such a critical variable in the investment process that the differences between short- and long-term investing are far more profound than most people realize. The long-term game is so unlike the short-term game that you need a whole new set of rules when you are playing it. I shall mention three areas where this requirement applies.